

DEAL INTELLIGENCE

Maverick's \$50M Foreclosure Win Shows Debt Buyers Control the Clock, Not the Asset

A lender's path to ownership reveals how distressed debt investors extract value from legal leverage, not operating income.

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A source-grounded Light Tower Insight. The complete note follows.

A lender taking control of a 120-year-old Fifth Avenue building through foreclosure is not a vote of confidence in the asset. It is a vote of confidence in the legal process that forces ownership when the borrower runs out of time.

Maverick Real Estate Partners acquired the Gorham Building at 390 Fifth Avenue for \$50 million through a foreclosure sale, according to property records. The 140,000-square-foot commercial building, designed by Stanford White and owned by the Schwalbe family since at least 1969, is now in the hands of a debt buyer that spent months litigating to get there.

The transaction matters because it reveals how aggressive debt buyers extract value not from operating income but from legal leverage. Maverick did not buy the building because it believes in the office market. It bought the building because the foreclosure process gave it a path to ownership at a price that reflects the loan balance, not the market value.

The underlying loan was \$41 million. The foreclosure sale valued the transfer at \$50 million. That \$9 million gap is not a premium. It is the cost of the legal fight, the accrued interest, and the fees that the borrower contested in court.

The Schwalbe family accused Maverick of employing what they called vulturous tactics, alleging that the lender accepted hundreds of thousands of dollars in fees while repeatedly changing the terms required to extend the loan. According to the complaint, the borrowers owed a \$41 million payoff on New Year's Eve and intended to exercise an extension option. After paying a \$200,000 extension fee, Maverick allegedly demanded an additional \$1.5 million interest shortfall that the borrowers claimed was not required under the agreement. The Schwalbes also claimed Maverick instituted a full cash sweep before declaring a default, leaving ownership unable to pay operating expenses.

A court temporarily halted the foreclosure in February but denied the family's request for a preliminary injunction the next month, finding the borrowers had failed to demonstrate irreparable harm. That ruling reopened the path to foreclosure and effectively ended the Schwalbe family's 57-year ownership.

For Maverick, the outcome is a textbook debt-buyer playbook. The firm did not originate the loan. It purchased the distressed debt at a discount, then used the legal system to force a resolution that gives it control of the collateral. The \$50 million transfer price is not a market comp. It is a foreclosure valuation that reflects the lender's cost basis, not what a willing buyer would pay for the building in an open-market transaction.

The building itself is a 1905-era office and showroom property on a prime Fifth Avenue block. But the asset quality is secondary to the capital structure. The Schwalbe family owned the building free and clear for decades before taking on the \$41 million loan. That leverage, combined with a borrower who could not or would not meet the lender's demands, created the opening for Maverick to force ownership.

The deal also highlights a recurring tension in New York's distressed market: the gap between what a borrower thinks the loan documents say and what a lender can enforce. The Schwalbes believed they had an extension option. Maverick believed the extension was conditional. The court sided with the lender. That asymmetry is the source of value for debt buyers who are willing to litigate.

For other owners with maturing loans, the lesson is not about the Gorham Building specifically. It is about the type of capital they are dealing with. A traditional bank lender may prefer a modification to avoid taking the asset onto its books. A debt buyer like Maverick has a different incentive. It bought the paper expecting to own the building. Every month of delay is a cost, not a relationship.

The market should test whether this pattern accelerates. As more loans mature and borrowers struggle to refinance at current rates, the pool of distressed debt available for purchase grows. Debt buyers who can fund litigation and hold assets through a workout cycle will have more opportunities to convert paper into property. The question is whether the operating income from those properties will justify the acquisition cost once the legal dust settles.

Maverick is not betting that the Gorham Building will generate enough rent to cover a \$50 million basis in the current market. It is betting that the foreclosure process gave it a basis low enough to wait for the market to recover. That is a different kind of conviction. It is conviction in the legal system,

not in the asset.

SOURCES

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<https://therealdeal.com/new-york/2026/07/17/maverick-acquires-gorham-building-in-50m-foreclosure-sale/>

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